NDIS Quality and Safeguards Commission

Our ref: IR (6) 22/23 and ICM23/99

Tom & Co Legal Pty Ltd
PO Box Z5567
Perth WA 6000

Attention: Mr Tom Monks

By email to: info@tomandcolegal.com.au

Notice of internal review decision
Section 100 of the *National Disability Insurance Scheme Act 2013* (NDIS Act)

Dear Mr Monks

I refer to the email received by the NDIS Quality and Safeguards Commission (the NDIS Commission) on 25 January 2023 requesting an internal review of the decision made on 20 December 2022 to impose a banning order against your client, Ms Vida Reid, for a period of 5 years under section 73ZN(2)(a)(i) of the NDIS Act (**the original decision**).

I am the delegate of the NDIS Commissioner for the purposes of section 100 of the NDIS Act, and am authorised to make a decision on this internal review.

The internal review decision
I have decided to **vary** the original decision. This means the banning order made against Mrs Reid remains in place, however, it is changed or altered in some respect.

The variation I have decided to impose is to:

1. change the legislative basis for the banning order from section 73ZN(2)(a)(i) of the NDIS Act to section 73ZN(2)(a)(iii) instead; and

2. broaden the scope of the banning order to make it explicit that Mrs Reid is to have no involvement with or in the NDIS sector, in any capacity. This includes Mrs Reid being prohibited from:
    a) providing disability supports and services, directly or indirectly, to NDIS-funded participants;
    b) providing labour hire workers to support NDIS providers; or
    c) providing support, funding, guidance or assistance of any form to an NDIS provider.

The banning order (as varied) remains subject to the exception of Mrs Reid being able to seek disability supports or services for herself and her son, Mr Alex Reid.

I enclose the banning order as varied, and the reasons for my review decision at **Attachment A** to this notice.

Consequences of review decision
The original banning order made against Mrs Reid is not disturbed and continues to have effect from **5:30pm on 20 December 2022 (AWST).**

The variation takes **effect from 12.00am on 22 April 2023 until 12.00am on 21 December 2027 (AWST).**

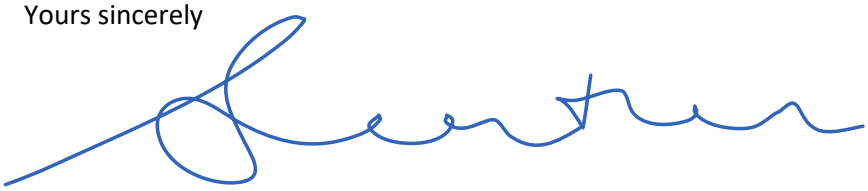
Engaging in conduct that breaches a banning order is a contravention of section 73ZN(10) of the NDIS Act. A contravention of a banning order attracts a civil penalty of 1,000 penalty units for an individual ($275,000).

External review rights
If Mrs Reid is dissatisfied with my review decision, she may apply to the Administrative Appeals Tribunal (AAT) for a review of the decision. She must apply within 28 days after receiving this notice of decision. Further information about applying to the AAT for a review can be found at https://www.aat.gov.au/apply-for-a-review/national-disability-insurance-scheme-ndis or by contacting the AAT on 1800 228 333.

Variation or revocation of banning order
Section 73ZO of the NDIS Act allows the NDIS Commissioner to vary or revoke a banning order at any time, on her own initiative, or in response to an application by the person against whom the order was made. If Mrs Reid is minded to request a variation or revocation of the banning order against her, an application must be in accordance with the matters set out in section 73ZO of the NDIS Act.

Contact details
Should you have any queries about this matter, please do not hesitate to contact Pascal Moussa, Lawyer, on 02 9942 5726 or at pascal.moussa@ndiscommission.gov.au.

Yours sincerely



Sian Leathem

Complaints Commissioner

NDIS Quality and Safeguards Commission

21 April 2023

Encl: Attachment A – Statement of Reasons for Internal Review Decision

NATIONAL DISABILITY INSURANCE SCHEME ACT 2013 (CTH)
SECTION 73ZN BANNING ORDER

I, Sian Leathem, as delegate of the Commissioner of the NDIS Quality and Safeguards Commission under the *National Disability Insurance Scheme Act 2013* (the NDIS Act), make this banning order with respect to **Vida Reid** of 96 Amethyst Crescent, Mount Richon, WA 6112.

I make the order believing on reasonable grounds that Vida Reid is not suitable to be involved in the provision of supports or services to people with disability.

Pursuant to section 73ZN(2)(a)(iii) of the NDIS Act, I prohibit Vida Reid from having any involvement with or in the NDIS sector, in any capacity, for a period of five (5) years. This includes Vida Reid being prohibited from:

a) providing disability supports and services, directly or indirectly, to NDIS-funded participants;
b) providing labour hire workers to support NDIS providers; or
c) providing support, funding, guidance or assistance of any form to an NDIS provider.

This banning order is subject to the exception that Mrs Reid is able to seek disability supports or services for herself and her son, Mr Alex Reid.

My reasons for making this order are set out in the enclosed statement of reasons.

This order, which varies the banning order made on 20 December 2022, takes effect from 12.00am on 22 April 2023 until 12.00am on 21 December 2027 (AWST).

The original banning order made on 20 December 2022 remains effective from that date to the date of this variation.

Sian Leathem

Complaints Commissioner

NDIS Quality and Safeguards Commission

21 April 2023

Attachment A

Statement of Reasons

Internal review decision – section 100 of the *National Disability Insurance Scheme Act 2013 (*NDIS Act)

Preliminary matters

1. This statement of reasons outlines why I have decided to vary the banning order made on 20 December 2022 under section 73ZN(2)(a)(i) of the NDIS Act, which prohibited Ms Vida Reid from providing supports and services, directly or indirectly, to NDIS-funded participants for a period of 5 years, effective from 5:30pm on 20 December 2022.

2. In this statement of reasons, I refer to the banning order made on 20 December 2022 as **the original decision**.

3. Section 99(1), table item 15 of the NDIS Act confirms the original decision can be subject to internal review (as it is identified as a 'reviewable decision').

4. Section 100(2) of the NDIS Act requires a request for review of a decision to be made within three months after receiving notice of the decision. I note Mrs Reid requested an internal review of the original decision within the statutory deadline.

5. Section 100(6A) of the NDIS Act requires an internal reviewer to make a decision either:

    a. confirming the reviewable decision;

    b. varying the reviewable decision; or

    c. setting aside the reviewable decision and substituting a new decision.

Role of the internal reviewer

6. In reviewing the original decision, my task was to make the correct or preferable decision in accordance with the law and any relevant policies of the NDIS Commission. In doing so, I considered the evidence that was before the original decision-maker, as well as any new evidence that was before me at the time of making my decision.

7. In deciding what is the correct or preferable decision, I needed to be satisfied on the balance of probabilities of any findings of fact that I made.

Decision

8. I have decided to **vary** the original decision.

9. The original decision is varied such that:

    a. the legislative basis of the banning order is changed from section 73ZN(2)(a)(i) of the NDIS Act to section 73ZN(2)(a)(iii) to reflect my view that Mrs Reid should be banned on the basis she is not suitable to be involved in the provision of supports or services to

people with disability (as opposed to any previous, current or likely contravention(s) of the NDIS Act she may be linked to); and

b. the scope of the banning order made against Mrs Reid on 20 December 2022 is broadened to prohibit Mrs Reid from having any involvement with or in the NDIS sector, in any capacity. This includes Mrs Reid being prohibited from:

    i. providing disability supports and services, directly or indirectly, to NDIS-funded participants;

    ii. providing labour hire workers to support NDIS providers; or

    iii. providing support, funding, guidance or assistance of any form to an NDIS provider.

10. However, the banning order (as varied) remains subject to the exception that Mrs Reid is able to seek disability supports or services for herself and her son, Mr Alex Reid.

11. The banning order made on 20 December 2022 (and varied on 21 April 2023), therefore, will remain in place until **12.00am on 21 December 2027 (AWST)**, unless it is varied or revoked earlier.

Materials on which my findings are based

12. In coming to my decision, I had regard to the following material:

    a. the notice and statement of reasons for the original decision, dated 20 December 2022;

    b. the NDIS Act;

    c. the NDIS Quality and Safeguards Commission Compliance and Enforcement Policy, version 2.0 dated June 2019;

    d. the NDIS Quality and Safeguards Commission Banning Order Policy, version 1.0 dated April 2022 (**the NDIS Commission Banning Order Policy**);

    e. the submissions of Mr Tom Monks (Legal Practitioner Director from Tom & Co Legal Pty Ltd), made on behalf of Mrs Reid, dated 30 November 2022;

    f. materials which were before the original decision-maker, particularly:

        i. Briefing note (EC22-002000) relating to the notice of intention to make a banning order against Mrs Reid;

        ii. Briefing note (EC22-002581) relating to the decision to make a banning order against Mrs Reid;

        iii. the Magistrates Court of Western Australia Prosecution Notice, signed on 18 October 2022, in relation to the charges laid upon Mrs Reid;

        iv. the Statement of Material Facts, dated 19 October 2022, prepared by the NDIA and lodged in the criminal proceedings against Mrs Reid;

v. Australian Securities and Investments Commission (ASIC) Company Extracts for Hybrid Hive Pty Ltd and Forward Focused Group Pty Ltd;

g. correspondence between the original decision-maker and Mr Monks, specifically:

i. the letter from Mr Monks to the original decision-maker, dated 31 October 2022, seeking an extension of time to make submissions and further information from the NDIS Commission;

ii. the letter from original decision-maker to Mr Monks, dated 15 November 2022, granting an extension of time to make submissions and refusing the request for further information; and

h. new evidence that arose during the course of the internal review, namely the sworn statement of Ms Cassandra Burke, dated 16 February 2023.

Relevant legislation

13. Section 73ZN(2) of the NDIS Act gives the Commissioner the discretion to make a banning order prohibiting or restricting a person employed or otherwise engaged by an NDIS provider as follows:

'The Commissioner may, by written notice, make an order (a banning order) prohibiting or restricting a person who is or was employed or otherwise engaged by an NDIS provider, or a person who is or was a member of the key personnel of an NDIS provider, from engaging in specified activities if:

(a) the Commissioner reasonably believes that:

i. the person has contravened, is contravening, or is likely to contravene this Act; or

ii. the person has been involved in, or is likely to become involved in, a contravention of this Act by another person; or

iii. the person is not suitable to be involved in the provision of supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this subparagraph; or

iv. there is an immediate danger to the health, safety or wellbeing of a person with disability if the person continues to engage in the specified activities; or

(b) the person is convicted of an offence involving fraud or dishonesty; or

(c) the person becomes an insolvent under administration.'

14. Under section 73ZN(3) of the NDIS Act, a banning order may apply generally or be of limited application, and may be permanent or for a specified period.

15. Section 73ZN(7) of the NDIS Act states that the Commissioner may only make a banning order against a person after giving the person an opportunity to make submissions to the Commissioner on the matter (except in certain circumstances outlined in section 73ZN(8) which are not relevant to this matter).

16. Section 73ZN(9) sets out the various requirements surrounding any banning order made as follows:

'The Commissioner must:

(a) give the banning order to the person against whom the order is made; and

(b) include in the banning order a statement of reasons for the order; and

(c) if the banning order is against a person who is employed or otherwise engaged by an NDIS provider or is a member of the key personnel of an NDIS provider—notify the NDIS provider of the order as soon as possible.'

Background and procedural history of matter

17. From 28 August 2020 to 1 November 2022, Mrs Reid was, at various periods, the sole director or co-director of Forward Focused Group Pty Ltd (**FFG**), which was a registered NDIS provider.

18. On 19 October 2022, the original decision-maker issued Mrs Reid with a notice of intention to make a banning order against her. In the letter, the original decision-maker invited Mrs Reid to make submissions in relation to the proposed banning order by no later than 5pm (AWST) on 16 November 2022.

19. On the same date, the original decision-maker also decided to:

    a. suspend the registration of FFG for a period of 30 days until 19 November 2022; and

    b. issue FFG with a notice of intention to revoke the registration of, and make a banning order against the NDIS provider.

    The evidence supporting the proposed banning of Mrs Reid and the regulatory actions against FFG was similar or overlapped considerably.

20. On 31 October 2022, Mr Monks wrote to the original decision-maker to:

    a. confirm he represented Mrs Reid (and FFG);

    b. seek an extension of 28 days for Mrs Reid (and FFG) to provide submissions; and

    c. seek a copy of the information held by the NDIS Commission in determining to suspend the registration of FFG. Given the evidential similarities in the matters noted above, it appears the original decision-maker interpreted this request to consequentially be seeking the material that also supported the banning order proposed to be made against Mrs Reid.

    Mr Monks requested the original decision-maker provide a response in relation to these requests within 7 days.

21. The original decision-maker did not provide a response within the requested timeframe.

22. On 15 November 2022, the original decision-maker wrote to Mr Monks granting an extension of time for Mrs Reid (and FFG) to make further submissions. The new deadline for providing submissions was by 5pm (AWST) on 30 November 2022. The original decision-maker declined to provide the further information sought by Mr Monks on the basis that the original decision-maker was satisfied the evidence supporting the various regulatory actions against FFG and Mrs Reid had been adequately disclosed in the notices dated 19 October 2022.

23. On 30 November 2022, Mr Monks provided a single, joint submission for Mrs Reid and FFG. Those submissions allege the original decision-maker did not respond to Mr Monk's requests for an extension of time and further information. This is not correct. I have been provided with a copy of an email, dated 15 November 2022, sent at 6:04pm, from WACompliance@ndiscommission.gov.au to info@tomandcolegal.com.au, which attached the letter described above at paragraph [22], granting an extension of time and declining the request for further information.

24. On 20 December 2022, the original decision-maker made a banning order against Mrs Reid, prohibiting her from providing supports and services, directly or indirectly, to NDIS-funded participants for a period of 5 years, under section 73ZN(2)(a)(i) of the NDIS Act, on the basis that he had reasonable grounds to believe that Mrs Reid had contravened, was contravening or was likely to contravene the NDIS Act. The banning order took effect from 5:30pm (AWST) on 20 December 2022.

25. On 25 January 2023, Mr Monks, on behalf of Mrs Reid, requested an internal review of the decision to make a banning order on 20 December 2022.

26. On 6 February 2023, the NDIS Commission emailed Mr Monks a letter of acknowledgement in relation to the request for an internal review. The letter invited Mrs Reid to make submissions to be considered as part of the internal review by 5pm on 20 February 2023. No submissions were received from, or on behalf of, Mrs Reid.

27. On 22 March 2023, I wrote to Mr Monks to inform him that, in the course of conducting the internal review, I had become aware of information not considered by the original delegate. I provided Mr Monks with a copy of the new information and informed him of my intention to vary the banning order against Mrs Reid in light of such material. The letter invited Mrs Reid to make submissions to be considered as part of the internal review by 5pm on 5 April 2023. No submissions were received from, or on behalf of, Mrs Reid.

Findings and Reasons

28. I have considered the original decision made on 20 December 2022.

29. I am of the view that the original decision was the correct and preferable decision to be made, however, I disagree with the basis for the original decision, namely the original decision-maker forming a reasonable belief that Mrs Reid had contravened, was contravening, or likely to contravene the NDIS Act. Section 73ZN(2)(a)(i) allows for a banning order to be made against a person in such circumstances.

30. In my view, the original decision should have been made pursuant to section 73ZN(2)(a)(iii) of the NDIS Act, which provides a banning order can be made where a decision-maker forms a reasonable belief that a person is not suitable to be involved in the provision of supports or services to people with disability.

31. A banning order on this latter basis accords with the usual approach followed by the NDIS Commission in matters where a person is alleged to have engaged in fraudulent activity against the NDIS (particularly where criminal charges are laid) and is also more consistent with the NDIS Commission's Banning Order Policy.

32. In the paragraphs below, I set out my reasons for reaching this decision.

Consideration of material before original decision-maker

33. I acknowledge the original decision-maker had a wide range of material before him.

34. In conducting this internal review, I relied upon a circumscribed amount of that material as noted above at paragraph 12.

35. As a result, I made the following findings:

    a. FFG and Hybrid Hive Pty Ltd (**Hybrid**) are NDIS providers with whom Mrs Reid is (or was) associated.

    b. FFG was formerly a registered NDIS provider operating in Western Australia, until 20 December 2022 when a delegate of the NDIS Commissioner revoked the registration of FFG, and made a banning order prohibiting FFG from providing supports or services to NDIS-funded participants for a period of 10 years.

    c. In relation to FFG, Mrs Reid was:

        i. the co-director from 28 August 2020 to 3 January 2021;

        ii. the sole director from 4 January 2021 to 20 October 2022; and

        iii. the co-director from 21 October 2022 to 1 November 2022.

    d. Hybrid was formerly an unregistered NDIS provider operating in Western Australia, until a delegate of the NDIS Commissioner made a banning order on 21 December 2022 permanently prohibiting Hybrid from providing supports and services to NDIS-funded participants.

    e. In relation to Hybrid, Mrs Reid was:

        i. the sole director from 1 December 2021 to 16 February 2022; and

        ii. the co-director from 17 February 2022 to 21 August 2022.

    f. On 19 October 2022, Mrs Reid was arrested and charged with several offences under sections 135.1(3) and 400.9(1) of the Criminal Code (Cth), which is contained in the Schedule to the *Criminal Code Act 1995* (Cth). Those charges related to Mrs Reid allegedly defrauding the National Disability Insurance Scheme (**NDIS**).

    g. Specifically, the charges were that:

        i. between 1 December 2021 and 17 May 2022 at Perth in the State of Western Australia, Mrs Reid dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth);

        ii. between 26 December 2021 and 23 June 2022 at Perth in the State of Western Australia, Mrs Reid dealt with money or other property, it being reasonable to

suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth);

iii. between 30 November 2021 and 8 April 2022 at Perth in the State of Western Australia, Mrs Reid caused payment requests to be submitted, which she knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1(3) of the Criminal Code (Cth); and

iv. between 18 November 2021 and 19 April 2022 at Perth in the State of Western Australia, Mrs Reid caused payment requests to be submitted, which she knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1(3) of the Criminal Code (Cth).

h. In the criminal proceedings relating to these charges, the NDIA lodged a Statement of Material Facts, dated 19 October 2022, which outlined the relevant facts underlying the charges (**the SoFM**). The SoFM provided that:

i. Mrs Reid (along with Mr Simon Reid, her husband and business partner) are joint signatories to company bank accounts for FFG and Hybrid, namely:

- ANZ Bank account numbered 016253 154173449 (**the Hybrid ANZ account**);
- ANZ Bank account numbered 016253 152003884 (**the FFG ANZ account**); and
- Westpac Bank account numbered 036032 736973 (**the FFG Westpac account**).

ii. between 3 February 2021 and 18 April 2022, 40 separate complaints were made to the NDIA in relation to the conduct and claiming patterns of FFG and Hybrid.

iii. between 20 May 2022 and 1 September 2022, 29 separate complaints were made to the NDIA in relation to the conduct and claiming patterns of FFG and Hybrid.

iv. on 1 September 2022, the NDIA commenced an investigation into the claims submitted by FFG and Hybrid. The investigation discovered the matters set out below.

v. on 30 November 2021, the NDIA issued a new plan for NDIS participant, Ms Meghan Goodwin. On the same day, Ms Reid contacted the NDIA and requested a copy of the new plan for Ms Goodwin, which was emailed to her. Within an hour of making that call, FFG made three separate claims for payment in relation to supports and services purportedly provide to Ms Goodwin. The claims were submitted against the plan expiring on 30 November

2021 and, in my view, appeared to be excessive and falsified. For example, the claims submitted included 398 hours of house cleaning between 15 October 2021 and 30 November 2021 – this equates to 8.46 hours of cleaning every day for 47 days. On 1 December 2021, the NDIA made a payment of $43,004.60 into the FFG ANZ account, for which Mrs Reid is a joint signatory.

vi. Zettai Pty Ltd (trading as Assist Plan Managers) (**Assist**), a registered NDIS provider that performs the services of a Plan Manager, at various times received invoices from FFG and Hybrid for supports or services purportedly provided to various NDIS participants. Assist would then make claims to the NDIA for those supports or services, receive funds from the NDIA, and then forward those funds to FFG or Hybrid.

vii. between 30 December 2021 and 20 April 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to Ms Goodwin. The claims resulted in the payment of $5979.64 to Assist, who subsequently transferred those funds to the FFG ANZ Account, for which Mrs Reid is a joint signatory.

viii. between 25 January 2022 and 10 May 2022, Assist submitted 20 separate claims to the NDIA for supports or services purportedly provided by Hybrid to an NDIS participant, Ms Meghan Goodwin. The claims resulted in the payment of $78,491.06 to Assist, who subsequently transferred those funds to the Hybrid ANZ account, for which Mrs Reid is a joint signatory.

ix. Ms Goodwin has provided a witness statement that she did not receive the supports or services purportedly provided in the claims referred to above.

x. an NDIA forensic accountant examined (among other things) the statement of Ms Goodwin, NDIS payments records and banks statements for the FFG ANZ account and the Hybrid ANZ account. The NDIA forensic accountant calculated that the value of claims submitted by FFG and Hybrid where no support or service was provided to Ms Goodwin to be $127,475.30.

xi. as a result, the NDIA alleges that Mrs Reid received money reasonably suspected of being the proceeds of crime to the sum of $127,475.30.

xii. between 24 November 2021 and 22 April 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to another NDIS participant, Ms Sarah-Jane Clulow. The claims resulted in the payment of $86,192.60 to Assist, who subsequently transferred those funds to the FFG ANZ Account, for which Mrs Reid is a joint signatory.

xiii. between 24 November 2021 and 22 April 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to another NDIS participant, Ms Sarah-Jane Clulow. The claims resulted in the payment of $86,192.60 to Assist, who subsequently transferred those funds to the FFG ANZ Account, for which Mrs Reid is a joint signatory.

xiv. between 25 May 2022 and 22 June 2022, Assist submitted 14 separate claims to the NDIA for supports or services purportedly provided by FFG to Ms Clulow. The claims resulted in the payment of $33,816.88 to Assist, who subsequently transferred those funds to the FFG Westpac account, for which Mrs Reid is a joint signatory.

xv. Ms Clulow has provided a witness statement that she did not receive the supports or services purportedly provided in the claims referred to above.

xvi. an NDIA forensic accountant examined (among other things) the statement of Ms Clulow, NDIS payments records and banks statements for the FFG ANZ account and the FFG Westpac account. The NDIA forensic accountant calculated that the value of claims submitted by FFG where no support or service was provided to Ms Clulow to be $120,009.48.

xvii. as a result, the NDIA alleges that Mrs Reid received money reasonably suspected of being the proceeds of crime to the sum of $120,009.48.

xviii. between 26 August 2022 and 21 September 2022, Assist submitted to the NDIA 11 separate reports of suspicious invoices it had received from FFG and Hybrid.

Section 73ZN(2)(a)(iii) of the NDIS Act – the suitability of Mrs Reid to provide supports and services to people with disability

36. In light of the above information, I am of the reasonable belief that Mrs Reid is not suitable to be involved in the provision of supports or services to people with disability.

37. In forming this view, I have taken into consideration and balanced the following factors:

    a. The allegations against Mrs Reid, though unproven, are extremely serious. Some of the offences which Mrs Reid has been charged with carry a maximum penalty of 10 years imprisonment. The alleged conduct falls well below the standard and quality of care expected from a member of the key personnel of an NDIS provider, particularly a director.

    b. I acknowledge Mrs Reid has considerable experience in, and links to the disability care and support sector. Whilst these matters are relevant to an assessment of Mrs Reid's suitability to be involved in the sector, I find that they do not outweigh the other factors that favour the making of a banning order, particularly the fact that Mrs Reid engaged in the alleged criminal conduct whilst she was the director of two NDIS providers. In fact, the position she held within those NDIS providers significantly facilitated the commission of the alleged fraud.

    c. Section 3 of the NDIS Act contains the objects of the NDIS Act, which includes:

        i. supporting the independence and social and economic participation of people with a disability;

ii. enabling people with a disability to exercise choice and control in the pursuit of their goals and the planning and delivery of their supports;

iii. promoting the provision of high quality and innovative supports that enable people with a disability to maximise independent lifestyles and full inclusion in the community; and

iv. protecting and preventing people with disability from experiencing harm arising from poor quality or unsafe supports or services provided under the NDIS.

In giving effect to the objects of the NDIS Act, section 3(3)(b) of the NDIS Act requires regard to be had to the need to ensure the financial sustainability of the NDIS.

Similarly, as set out in section 4(17)(b) of the NDIS Act, it is the intention of Parliament that the Commissioner, amongst others, has regard to the need to ensure the financial sustainability of the NDIS, in performing her functions and exercising her powers under the NDIS Act.

The allegations made against Mrs Reid by the NDIA are likely to cause harm to, or jeopardise, public trust in the NDIS and, if made out, are likely to impact the financial sustainability of the NDIS.

d. The need to protect the interests of people with disability, who may be particularly vulnerable, and ensure that they are kept safe, requires that in matters of this kind, a person facing such serious criminal charges must be prevented from having access to the NDIS plans of people of disability and delivering supports or services to them. Allowing Mrs Reid to continue working in the NDIS would undermine the objects of the NDIS, which includes protecting people with disability from experiencing harm.

e. I acknowledge the making of a banning order in respect of Mrs Reid will impact her ability to earn an income in the disability services sector, and I have taken this into account. However, I consider that the competing interest of ensuring NDIS participants, who may not be able to fully protect their own interests and who have a statutory right to safe services and protection from violence, abuse and exploitation, is paramount and takes precedence over the detriment Mrs Reid may experience if banned.

The submissions of Mrs Reid

38. I have considered the submissions made by Mr Monks, on 30 November 2022, on behalf of Mrs Reid.

39. As already noted, Mr Monk made a single, joint submission that addressed the allegations against, and regulatory action proposed to be taken in relation to, **both** FFG and Mrs Reid.

40. For the most part, the submissions were framed with a focus on FFG (as opposed to Mrs Reid), however, I have interpreted them as having been intended to apply or relate to Mrs Reid too given the degree of similarity between the allegations against FFG and Mrs Reid.

41. In summary, the submissions made by Mr Monks deny all allegations that Mrs Reid had contravened, was contravening or likely to contravene the NDIS Act, and include various

explanations and evidence in support of those assertions. Given my approach to this internal review from a suitability perspective (as opposed to contraventions of the NDIS Act), it is not necessary or conducive to go into a detailed examination of the submissions *which related to contraventions of the NDIS Act*.

42. This internal review was determined on the basis of Mrs Reid's suitability to engage in the NDIS sector. The submissions made by Mr Monks that relate to the question of Mrs Reid's suitability (or the criminal charges against her) are found on pages 7 and 11 of the submissions.

43. In summary, those submissions were that:

    a. Mrs Reid emphatically denies the allegation that false claims were submitted for payment to the NDIA with the intention of dishonestly causing a loss to a Commonwealth entity, the NDIA;

    b. the matter is currently the subject of criminal proceedings and it is inappropriate for the NDIS Commission to pursue the allegations until the criminal proceedings have been determined;

    c. in the interests of *'procedural and substantive justice'*, FFG's *'fitness to hold an NDIS registration'* should not be determined until the criminal proceedings are determined;

44. I gave significant weight to these submissions as I acknowledge that the allegations against Mrs Reid have not been proven to the criminal standard.

45. I also acknowledge and respect the presumption of innocence in favour of Mrs Reid in relation to the criminal charges.

46. However, the submissions of Mr Monks ultimately did not dissuade me from my view that a banning order should be made against Mrs Reid. In the context of criminal proceedings, the standard of proof that applies is that allegations must be proven beyond a reasonable doubt. However, the making of a banning order, which is an administrative decision, only requires that I be satisfied on the balance of probabilities that Mrs Reid has engaged in the conduct alleged, which, I am, given the strength of the evidence referred to above (which indicates the alleged fraudulent conduct was systemic in nature and occurred over a prolonged period of time).

47. Furthermore, for the reasons already set out above at paragraphs at 37(a) to (e), I consider there would be a significant and indefensible risk associated with Mrs Reid being allowed to continue to engage in the NDIS sector until her criminal proceedings are determined; the likelihood of further harm to other NDIS participants to whom Mrs Reid may provide supports or services warrants the NDIS Commission taking regulatory action at this time to safeguard NDIS participants.

Procedural fairness

48. The notice of intention to make a banning order against Mrs Reid (dated 19 October 2022) and the subsequent statement of reasons in support of the original decision (dated 20 December 2022) made reference to the criminal conduct Mrs Reid is alleged to have engaged in. However, neither document included the level of detail I have set out in this statement of reasons in relation to the alleged criminal conduct.

49. In particular, the original decision-maker did not list the precise criminal charges laid under the Criminal Code (Cth) nor reference the SoFM lodged by the NDIA.

50. It is worth noting that I do **not** consider this poses a procedural fairness issue for the following reasons:

    a. the information provided by the original decision-maker to Mrs Reid was sufficient to enable her to understand the nature and substance of the matters the original decision-maker was referring to, and taking into account, in making his decision. Supporting my view that Mrs Reid was sufficiently informed of the criminal allegations are the submissions of Mr Monks (specifically pages 7 and 11) where it is clear Mr Monks was able to identify the allegations of fraudulent conduct that the original decision-maker was alluding to, and provided a response that addressed the relevant criminal proceedings; and

    b. the information I have referred to in this statement of reasons (i.e. the criminal charges and NDIA SoFM) are matters which Mrs Reid would already be aware of, and possess information in relation to. For example, Mrs Reid was given a copy of the prosecution notice detailing the criminal charges against her as well as a copy of the NDIA SoFM in the course of the criminal proceedings. She was, therefore, well placed to make submissions in relation to those matters.

Consideration of new evidence that arose after the original decision was made

51. In the course of undertaking this internal review, I became aware of new information that indicated Mrs Reid may be involved in a business (other than FFG and Hybrid) that has links to the NDIS, namely Dream Big Employment Pty Ltd (**Dream Big**). Mrs Reid's involvement in this entity seems to have commenced around the time the NDIS Commission began taking regulatory action against the NDIS providers that she was a director of, as well as against Mrs Reid in a personal capacity. For example, on 19 October 2022 the registration of FFG was suspended by the NDIS Commission and Mrs Reid was notified that the original decision-maker was intending to make a banning order against her personally.

52. The 'new' material before me was a sworn statement by a former employee of FFG, Ms Cassandra Burke, dated 16 February 2023. The statement relevantly notes that:

    a. On or around 15th November 2022, whilst working for a new employer (Access Disability Services), Ms Burke was informed by a client (NDIS participant, Mr Jonathon Shapiera) that he would be moving to another support co-ordinator, Mr Blake Sadler, who was going to be running a company for Mrs Reid (and her husband) called Dream Big; and

    b. On 9 December 2022, Ms Burke received an email from Ms Pamela Cricelli (the mother of NDIS participant, Mr Giuseppe Cricelli) stating that she wished to cancel her son's contract with Ms Burke as she was 'going back to Vida and Simon'; and

    c. On 1 December 2022, Ms Burke encountered Ms Reid outside an office in Jull Street and Ms Reid said to her "I would like you to come and work for my new company", which Mrs Burke understood to be a reference to Dream Big.

53. On 22 March 2023, I extended to Mrs Reid an opportunity to make submissions in relation to these allegations. No submissions were received from, or on behalf of, Mrs Reid.

54. In the absence of any information or evidence to negate the veracity of Ms Burke's statement, I attribute considerable weight to the allegations contained in the statement.

55. I find it concerning that Mrs Reid seems to have attempted to remain involved in the NDIS sector in circumstances where she (and the NDIS providers she was associated with) were subject to significant regulatory action that was specifically intended to prohibit them from engaging in the NDIS. In particular, the establishment of Dream Big, which I understand occurred in affiliation with associates of Mrs Reid, who have been appointed as the officeholders for the company instead of Mrs Reid, indicates to me that Mrs Reid may be finding strategic or tactical ways to circumvent the terms of the banning order made against her and that it is necessary to broaden the scope of the banning order accordingly.

The NDIS Commission Banning Order Policy

56. The *NDIS Commission Banning Order Policy* contemplates that a banning order can be *'issued pending the determination of [criminal] charges'* if, in the circumstances, the information and evidence obtained by the NDIS Commission supports a view that a banning order is warranted and appropriate.

57. In practice, this is ordinarily operationalised by the NDIS Commission making the banning order under section 73ZN(2)(a)(iii) of the NDIS Act as opposed to the other grounds set out in the NDIS Act. The reason being that criminal wrongdoing (whether alleged or proven) directly relates to the suitability of the relevant person to engage in the NDIS sector and section 73ZN(2)(a)(iii) is therefore the most relevant statutory provision in those circumstances.

58. Therefore, for the reasons noted above (particularly in paragraphs 37(a) to (e) and 51 to 55), I consider a banning order against Mrs Reid to be warranted and appropriate.

59. In my view, there is no compelling reason to diverge from the usual practice of the NDIS Commission making such an order under section 73ZN(2)(a)(iii) of the NDIS Act and aberrantly relying upon a different statutory basis.

Requirement to take proportionate and risk responsive action under NDIS Act

60. The NDIS Commission is required to conduct compliance and enforcement activities in a risk responsive and proportionate manner (section 181D(4)(b) of the NDIS Act).

61. The NDIS Commission's Banning Order Policy notes that a banning order can have a significant impact on the recipient and on people with disability, and as such, it will be reserved for circumstances where it is needed to protect people with disability from the risk of being exposed to conduct that falls well short of acceptable standards. However, a banning order should not be for a longer period than is considered necessary.

62. Having regard to the criminal proceedings presently pending against Mrs Reid, and in particular the serious and systemic nature of the allegations raised in those proceedings, I consider Mrs Reid is not suitable, at this time, to be an NDIS provider.

63. I consider that a banning order is appropriate in this case. The banning order will remain in place until **12:00am (AWST) on 21 December 2027**. The period of the banning order corresponds with the amount of time it is reasonably expected to take for the criminal proceedings to be finally determined by the court. Upon the determination of those proceedings, the banning order can be revisited and consideration given to whether it should be varied or revoked entirely.

64. In the meantime, the banning order will protect NDIS participants from the risk of being exposed to fraudulent claims and having the funds in their NDIS plans depleted.

Conclusion

65. The NDIS Provider Register published on the NDIS Commission's website will be updated to reflect the varied banning order made against Mrs Reid.



Sian Leathem

Complaints Commissioner

Delegate of the NDIS Quality and Safeguards Commissioner

NDIS Quality and Safeguards Commission

21 April 2023